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NexaCore Technologies — Q4 FY2025 Earnings Conference Call Transcript

Date: February 26, 2026 **Participants:** Sarah Chen (CEO), David Okafor (CFO) **Analysts:** Jennifer Walsh (Morgan Stanley), Robert Kim (Goldman Sachs), Alex Torres (JPMorgan), Lisa Park (Bernstein), Tom Chen (Barclays)

Opening Remarks

Sarah Chen, Chief Executive Officer

Thank you, and good afternoon, everyone. Q4 was a record quarter and a fitting end to a transformational year.

Q4 FY2025 revenue was $17.8B, up 115% year over year. Q4 gross margin was **77.2%**. For the full year, **revenue was $61.2B and net income was $22.1B.**

The **X3 ramp** is the headline. We began volume production in the second half of the year, and customer response has been extraordinary. Our teams at SilicaFab and across our supply chain executed exceptionally well.

On geography: **China was 9% of full-year revenue**, reflecting the export restrictions that took effect in Q2. Revenue in the Americas and Asia-Pacific more than offset the decline.

I'll turn it over to David for details.

(Source: NexaCore Q4 FY2025 Earnings Call, Opening Remarks)

David Okafor, Chief Financial Officer

Thanks, Sarah.

Q4 Segment Revenue

Segment	Q4 FY2025 Revenue
Data Center	$14.1B
Automotive AI	$1.6B
Edge Computing	$1.4B
Other	$0.7B
Total	**$17.8B**

Q4 Profitability and Cash

- **Q4 diluted EPS: $2.52.**
- **Full-year free cash flow: $19.0B.**
- **Share repurchases: $3.8B in Q4 alone**, under the $12B program authorized this year.
- We exited the year with $26.3B in cash and $3.5B in debt.

We reconfirm FY2026 revenue guidance of $85–95B.

(Source: NexaCore Q4 FY2025 Earnings Call, Financial Details)

Analyst Q&A

Jennifer Walsh (Morgan Stanley): X3 vs X2 Demand

Q: Sarah, can you give us more detail on X3 demand versus X2? Are you seeing customers transition or is it incremental?

A (Sarah Chen): It is incremental. Cloud customers are deploying X2 clusters *and* ordering X3 for new training runs. The X3 order backlog is the largest we've seen for any product launch. X2 will continue shipping through mid-FY2026.

Robert Kim (Goldman Sachs): SilicaFab and Project Diversify

Q: What's the latest on SilicaFab capacity and Project Diversify?

A (Sarah Chen): SilicaFab is ramping well. Project Diversify has identified a secondary site in South Korea, and formal negotiation is expected to begin in Q2 FY2026. We expect 18–24 months to meaningful production capacity at the alternate site. The SilicaFab contract runs through December 2027, so our **SilicaFab supply chain dependence** persists in the interim.

Alex Torres (JPMorgan): China Outlook

Q: On China — you mentioned 9% of revenue for the full year. Where does that go in FY2026 given further restrictions?

A (Sarah Chen): We expect China to be **5–6% of FY2026 revenue**. Some remaining sales will go through licensed resellers to approved research institutions.

Lisa Park (Bernstein): QE-Ultra Competitive Positioning

Q: QuantumEdge announced QE-Ultra for FY2026. How do you think about competitive positioning?

A (Sarah Chen): NexaCore X4 is on track for FY2027. By the time QE-Ultra ships, we'll have X3 at full scale — a two-year performance lead is not easily closed.

Tom Chen (Barclays): DOJ Antitrust Inquiry

Q: The DOJ antitrust inquiry — any update on timeline or scope?

A (Sarah Chen): We are cooperating fully. We believe our market position reflects product excellence, not anticompetitive behavior. We have no timeline estimate from the DOJ.

(Source: NexaCore Q4 FY2025 Earnings Call, Analyst Q&A)

Closing Remarks

Sarah Chen

To close: we reconfirm FY2026 guidance of **$85–95B in revenue**. We have never been in a stronger competitive or financial position. We expect to maintain our market leadership through the end of this decade.

Thank you for joining us.

(Source: NexaCore Q4 FY2025 Earnings Call, Closing Remarks)